



Income Tax Department

Ministry of Finance, Government of India

Special provision in case of income of public financial institutions, ⁶¹[*] etc.**

43D. Notwithstanding anything to the contrary contained in any other provision of this Act,—

- (a) in the case of a public financial institution or a scheduled bank or a co-operative bank other than a primary agricultural credit society or a primary co-operative agricultural and rural development bank or a State financial corporation or a State industrial investment corporation or such class of non-banking financial companies as may be notified by the Central Government in the Official Gazette in this behalf, the income by way of interest in relation to such categories of bad or doubtful debts as may be prescribed having regard to the guidelines issued by the Reserve Bank of India in relation to such debts;
- (b) ⁶²[***]

shall be chargeable to tax in the previous year in which it is credited by the public financial institution or the scheduled bank or a co-operative bank other than a primary agricultural credit society or a primary co-operative agricultural and rural development bank or the State financial corporation or the State industrial investment corporation or such class of non-banking financial companies as may be notified by the Central Government in the Official Gazette in this behalf, ⁶³[***] to its profit and loss account for that year or, as the case may be, in which it is actually received by that institution or bank or corporation or company, whichever is earlier.

Explanation.—For the purposes of this section,—

- (a) ⁶⁴[***]
- (b) ⁶⁴[***]
- (c) "public financial institution" shall have the meaning assigned to it in section 4A of the Companies Act, 1956 (1 of 1956);
- (d) "scheduled bank" shall have the meaning assigned to it in clause (ii) of the *Explanation* to clause (vii) of sub-section (1) of section 36;
- (e) "State financial corporation" means a financial corporation established under section 3 or section 3A or an institution notified under section 46 of the State Financial Corporations Act, 1951 (63 of 1951);
- (f) "State industrial investment corporation" means a Government company within the meaning of section 617 of the Companies Act, 1956 (1 of 1956), engaged in the business of providing long-term finance for industrial projects;
- (g) "co-operative bank", "primary agricultural credit society" and "primary co-operative agricultural and rural development bank" shall have the meanings respectively assigned to them in the *Explanation* to sub-section (4) of section 80P;
- (h) the expression "non-banking financial company" shall have the meaning assigned to it in clause (vii) of the *Explanation* to clause (vii) of sub-section (1) of section 36.

61. Words "public companies," omitt. by Act No. 15 of 2024, w.e.f. 1-4-2025.

62. Omitt. by Act No. 15 of 2024, w.e.f. 1-4-2025.

63. Words "or the public company" omitt. by Act No. 15 of 2024, w.e.f. 1-4-2025.

64. Omitt. by Act No. 15 of 2024, w.e.f. 1-4-2025.

